

Cash position is **sound**, but risk sits in concentration and credit-limit sizing

Molonglo Business Guild · Q3 FY26 (Jan-Mar 2026)

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\$2.02M

Outstanding Receivables

61.5%

Collection Rate

80%

Sponsorship Share

128

Members Over Limit

Is the Guild facing a collection problem - or a timing and credit-policy issue?

• Situation

Molonglo Business Guild invoiced \$5.25M in Q3 FY26, with \$2.02M still outstanding at quarter-end

• Complication

The 61.5% collection rate may look weak, but not all unpaid invoices are necessarily overdue. At the same time, sponsorship invoices and credit-limit exposure may be creating hidden concentration risk

• Question

Is the outstanding amount driven by poor collection performance, or by invoice timing, sponsorship concentration, and credit-limit design?

The Guild's cash position is **fundamentally sound** - collection discipline is improving and the real risks are structural

The 61.5% collection rate understates health: 53% of the \$2.02M owed is not yet due. Only 17.9% of invoices are genuinely overdue. On-time collection **improved from 40% to 64%** through the quarter, showing strengthening discipline. The real risks sit in **sponsorship concentration** (80% of outstanding receivables) and **over-limit exposure** (34% of members, \$1.23M) - driven by limits undersized for sponsorship invoices, not bad payers. Outstanding GST of \$183,672 represents tax reported but not yet collected in cash.

- Receivables are healthy - aging is 53% current, and on-time collection improved from 40% to 64%
- Sponsorship drives 80% of outstanding receivables - revenue-stream dependency, not debtor risk
- ✓ Forecast: 80% clears by mid-April, 98% by end April; even under stress, no multi-month crisis

Four lenses across **four dashboard pages** - from baseline to forecast

01

Overview & Concentration

Combine summary statistics, segment-level breakdowns and 80/20 analysis to show where outstanding cash is concentrated

02

Collections & Trend

Assess collection performance using maturity-adjusted issue-month rates, on-time trends, segment payment speed, and payment-method mix.

03

Risk & Diagnosis

Assess overdue risk, credit-limit pressure, and root causes using a Confirm → Isolate → Explain diagnostic approach, supported by forecast scenarios.

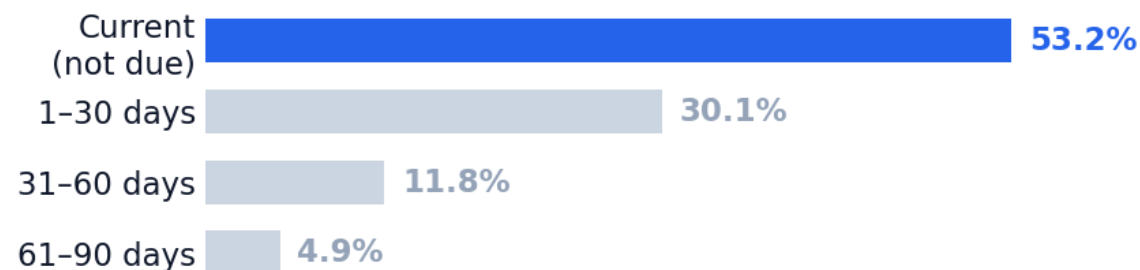
\$2.02M owed, but **53% is not yet due** - the book is younger than it looks



The Guild invoiced \$5.25M in Q3 and collected \$3.23M, representing a 61.5% collection rate. Of the remaining \$2.02M outstanding receivables, \$1.07M is still current and \$945K is overdue, meaning only 17.9% of invoices are genuinely past due. The gap between the median invoice value (\$1,430) and average invoice value (\$2,082) **indicates a right-skewed book**, where a small number of larger invoices drive concentration rather than broad non-payment.



Outstanding Receivables: Current vs Overdue



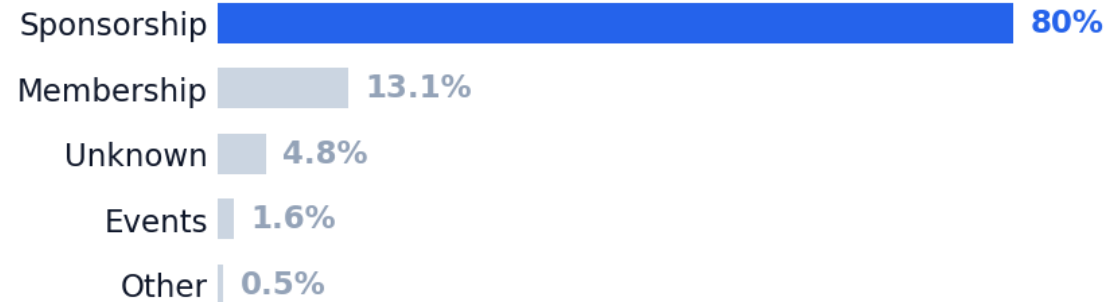
Sponsorship represents **80% of outstanding receivables**, making revenue-stream dependency the main concentration risk



Sponsorship accounts for \$1.62M of the \$2.02M owed - with Major Sponsorship alone at 43% (above the 25% survival-risk threshold). Yet customer concentration is low: the top debtor holds only 1.7%, and it takes 170 members (45%) to reach 80% of the book. The risk is **structural (one revenue stream)**, not relational (one big client).



Outstanding Receivables by Revenue Group



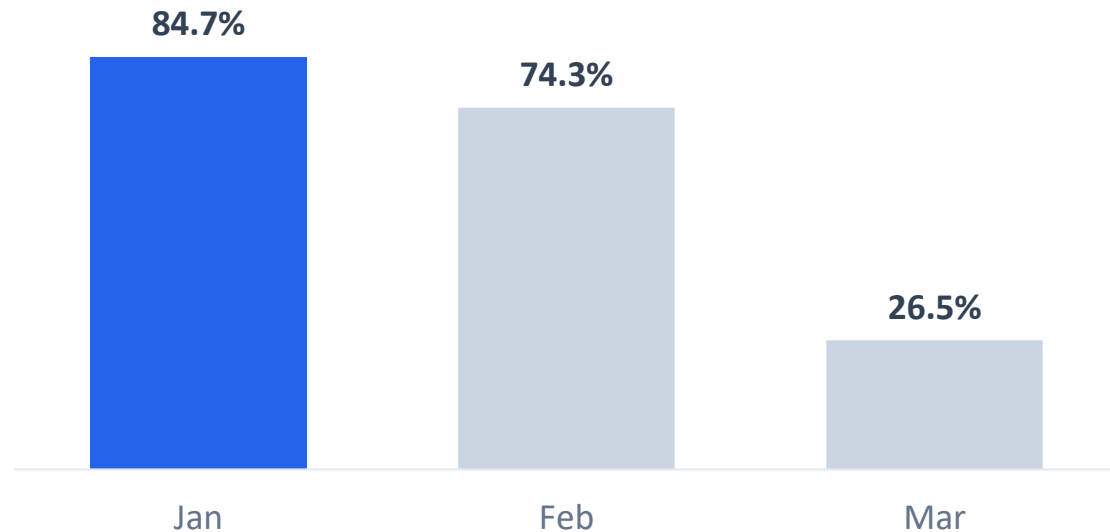
March's 26.5% collection rate is a **maturity artifact**, not a collapse



Collection rate by issue month drops from Jan 84.7% to Mar 26.5% - but this measures how much of each month's billing has been paid by the snapshot. March invoices were still within their 14–30 day terms and **couldn't have been collected yet**. This is a timing artifact, not a performance decline.



Collection Rate by Issue Month



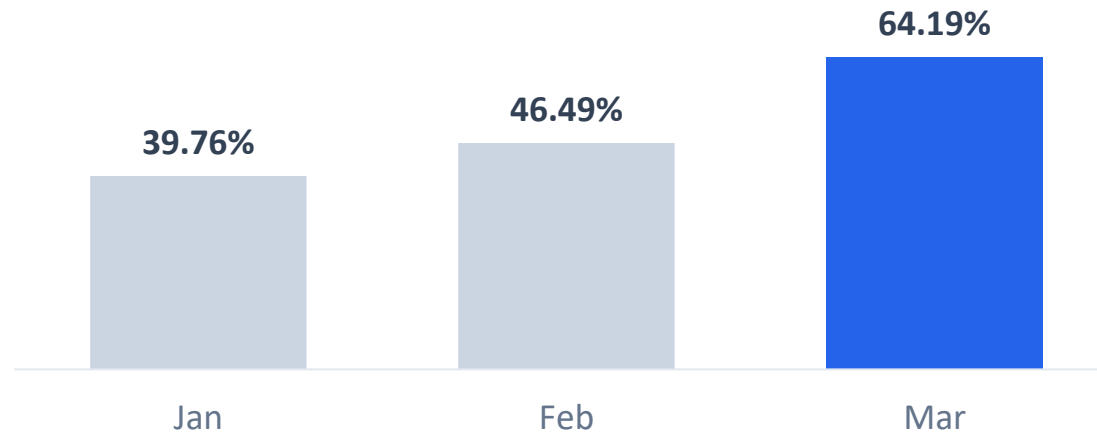
On-time collection **improved from 40% to 64%** - discipline is strengthening



Unlike the issue-month rate (a maturity artifact), on-time collection measures punctuality of *actually paid* invoices - unaffected by maturity. It rose from 39.76% in January to 64.19% in March. **Collection discipline strengthened** through the quarter. Standard-tier members remain the latest payers relative to terms (4.7 days late on 14-day terms), but the overall trajectory is positive.



On-Time Collection by Month



Over-limit exposure is a **limit-setting gap**, not a collection failure

CONFIRM: 128 of 382 members (34%) exceed their credit limit, tying up \$1.23M - 61% of all outstanding receivables. Max utilisation reaches 926%. Overdue is spread proportionally across all tiers - not localised to one segment.

ISOLATE: The over-limit problem hits Associate and Standard tiers hardest - a single \$7,725 sponsorship invoice exceeds an Associate limit (\$2K, $\times 3.9$) and a Standard limit (\$5K, $\times 1.5$). Premium and Corporate limits absorb it. Corporate has zero over-limit members.

EXPLAIN: This is invoice-size vs limit mismatch. Two unpaid sponsorship invoices push any Standard or Associate member over their limit regardless of payment behaviour. The fix is policy (re-size limits), not chase-harder.

The 34% over-limit rate is a limit-setting artifact: credit limits were set by tier without accounting for sponsorship-scale invoices (\$4,235–\$7,725). Re-sizing limits to match typical invoice values eliminates most of the apparent credit-risk exposure.

80% of the book clears by **mid-April** - even under stress, no multi-month crisis



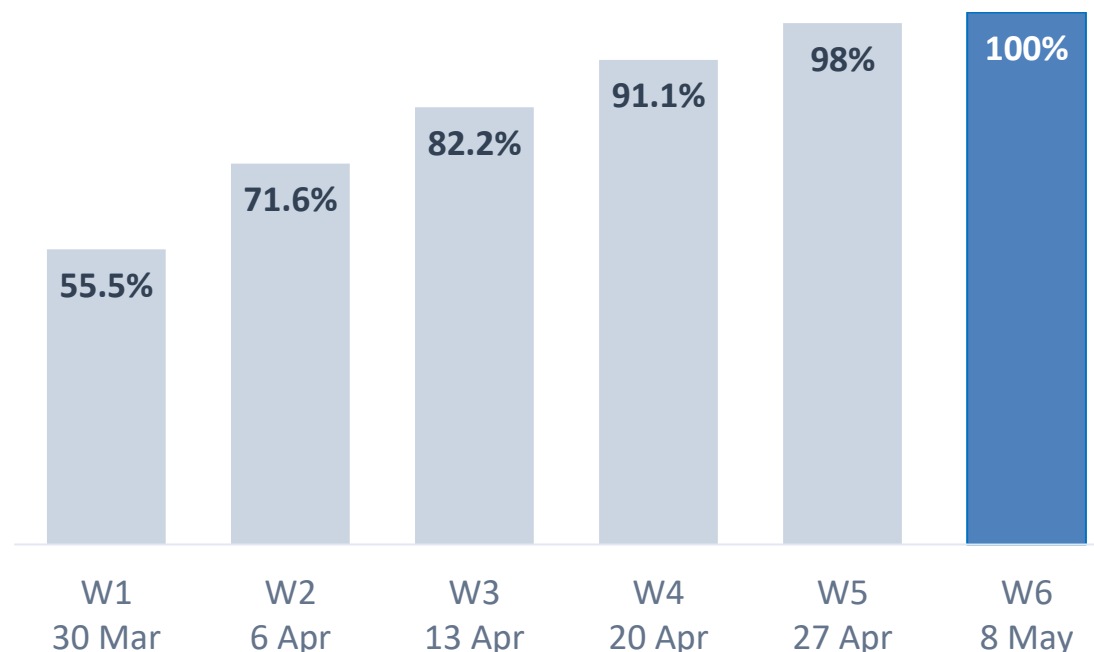
Base case: 80% by 13 April, 98% by 27 April

Conservative (+7d): 80% by 20 April, 98% by 4 May

Stress (sponsorship +14d): 80% by 27 April, 98% by 11 May. The stress case traps \$304K of additional working capital vs base - the tangible cost of sponsorship concentration. Of the forecast, **52% rests on individual member history**; 48% uses tier-level fallback.



Base Case: Cumulative % Collected by Week



Priority actions for stronger receivables management

	So What	Now What	How / expected outcome	Timeline
1	Sponsorship invoices are too large for current lower-tier limits	Re-size credit limits or create sponsorship-specific limits	Finance Manager; fewer false over-limit accounts and clearer credit-risk view	Immediate
2	\$607K of overdue AR is still fresh and recoverable	Chase 1-30 day overdue invoices immediately; routine follow-up prevents aging into harder buckets	AR Officer; prevent balances aging into higher-risk buckets	Immediate
3	80% of open AR sits in sponsorship	Build a sponsorship-specific collection process; earlier invoicing, milestone payments for major sponsorships, named collector for top 20 accounts	Sponsorship + Finance; improve predictability of major cash receipts	This quarter
4	March's 26.5% collection rate is affected by invoice maturity	Re-measure March cohort at end-April	Finance Analyst; avoid misreading timing as poor performance	This quarter
5	On-time collection improved from 40% to 64%	Identify and formalise what improved	Finance Manager; sustain collection discipline	Next quarter
6	Standard-tier terms may be too tight for larger invoices	Review 14-day terms for Standard sponsorship invoices; consider 21-day terms or early-payment discounts for sponsorship invoices	Membership + Finance; reduce overdue noise and improve payment behaviour	Next quarter

Data notes & limitations

- ! **Single-quarter window** caps overdue at ~90 days max - overdue severity is a **lower bound**. A full-year book could show deeper aging
- ! **181 Unknown-industry customers, 75 Unknown-category invoices** (imputed during cleaning) - real category/industry shares are **understated**
- ! **GST is sourced from the invoice data**, not derived. Invoices where GST = 0 are **GST-free** (exempt items). Outstanding GST is the sum of the actual GST column on unpaid invoices.
- ! **Payment timing is partly modelled** - lags were reconstructed during cleaning for corrupted rows. Collection-speed and forecast metrics are indicative, not fully observed.
- ! **Credit limits are tier-based proxies** (\$2K–\$20K by membership level), not credit-assessed - 'over limit' signals relative exposure, not a formal breach.
- ! **Dataset is synthetic**, modelled on a real Xero BAS export for a Canberra membership body. The method and pipeline are identical to what would run on production data.